



TOWN OF MEDWAY · MASSACHUSETTS

MEDWAY 2026 ANNUAL TOWN MEETING

Voter Discussion

May 11, 2026 · Medway High School · 7:30 PM

An informal discussion for engaged Medway residents

Tonight: Routine warrant overview · Art. 16 BESS PILOT · Art. 1 Winthrop St · Open discussion

SPECIAL TOWN MEETING

May 11, 2026 • 7:00 PM

Held at 7:00 PM — 30 minutes before the ATM opens at 7:30 PM

STM ARTICLES

8

All routine — no major debates

SELECT BOARD

Approve

All 8 articles

FINANCE COMMITTEE

Approve

All 8 articles

- Financial transfers — Arts. 1-3, 6 — Prior year bills, Snow & Ice deficit, Assessors, 120 Main St cleanup
- Capital & Equipment — Arts. 4-5 — Town record digitization (\$200K), Sewer vacuum excavator (\$35K)
- School capital — Arts. 7-8 — Repurpose Memorial School Roof funds; consolidate school project balances

Special Town Meeting — All Articles

All Select Board and Finance Committee: Approve • Starts 7:00 PM • Same evening as ATM

FINANCIAL TRANSFERS & ADMINISTRATIVE

CAPITAL, EQUIPMENT & SCHOOL PROJECTS

Art. 1	Prior Year Bills	\$140
Pay outstanding prior-year HR expense		
Art. 2	Free Cash: Snow & Ice Deficit	\$285,000
Cover FY26 winter budget shortfall		
Art. 3	Free Cash: Assessors' Valuation Account	\$14,600
Fund gap in property assessment account		
Art. 6	120 Main St Cleanup → Capital Stab. Fund	\$90,000
Redirect completed cleanup balance		

Art. 4	Town Record Digitization	\$200,000
Free Cash + Water/Sewer retained earnings		
Art. 5	Replace Sewer Vacuum Excavator	\$35,000
Sewer Enterprise retained earnings		
Art. 7	Memorial School Roof → McGovern Bath. + HS Air Quality	\$355,426
Repurpose completed project balance		
Art. 8	Consolidate School Project Balances → HS Boiler	\$154,780
5 completed project balances redirected		

Financial transfers: \$389,740

Capital & school: \$745,206

STM total: \$1,134,946

ANNUAL TOWN MEETING

May 11, 2026 • 7:30 PM

Starts at 7:30 PM — after the Special Town Meeting

ATM ARTICLES

26

Includes routine & unique items

SELECT BOARD

Approve

All 26 articles

FINANCE COMMITTEE

Approve

All 26 articles

- Routine annual appropriations — Arts. 2-6 — Operating budget, Water, Sewer, Solid Waste, Ambulance transfer
- Capital & financial transfers — Arts. 7-14 — Free Cash capital, roads, water tank, OPEB, stabilization, CPA
- Two items unique to 2026 — Art. 1 (Winthrop St land purchase) • Art. 16 (BESS PILOT agreement)

FINANCE COMMITTEE

FY2027 Budget Overview

Both the Select Board and Finance Committee recommend Approve on all 26 articles

TOTAL APPROPRIATION

\$74.4M

FY2027 Town Meeting budget

YEAR-OVER-YEAR

+2.9%

Up from \$72.3M in FY2026

FINCOM RECOMMENDATION

26 of 26

Recommends Approve — all ATM

STRUCTURAL PRESSURE

Chapter 70 state aid significantly underfunds Medway's actual education costs — the town's single biggest fiscal vulnerability into future years.

ACTIVE INVESTMENT CYCLE

The town is deliberately investing in roads, schools, and equipment now, while building a new Capital Stabilization Fund as a buffer for future capital needs.

FY2027 Revenue

PROPERTY TAX LEVY

\$57.7M

75% of general fund — Prop 2½ + new growth

STATE AID

\$14.0M

18% — Chapter 70 + other state programs

LOCAL RECEIPTS

\$5.1M

7% — fees, permits, ambulance transfer

General Fund Total: \$76,742,592

ENTERPRISE FUNDS — SELF-SUPPORTING

Water	\$5,605,353
Solid Waste	\$1,978,393
Sewer	\$2,205,536
Total	\$9,789,282

Funded by user fees — not property taxes

CHAPTER 70 — THE STRUCTURAL GAP

State aid grew from \$12.6M (FY25 actual) to \$14.0M (FY27) — a 11% increase over two years.

But Medway's actual education costs are rising faster. The state's per-pupil formula significantly underfunds what the town actually spends.

This gap must be closed with property taxes — and that pressure compounds year after year.

FY2027 Spending by Category

Category	FY2026	FY2027	Change
Education <i>50% of general fund budget</i>	\$36.7M	\$38.1M	+3.8%
Town-Wide Govt (debt/benefits) <i>Pension, health ins., debt service</i>	\$18.0M	\$17.4M	-3.1%
Public Safety <i>Fire +15.3% drives most of this increase</i>	\$8.7M	\$9.5M	+8.5%
General Government <i>Town admin, finance, technology</i>	\$3.6M	\$3.8M	+6.5%
Public Works <i>DPW operations, stormwater, snow/ice</i>	\$3.2M	\$3.3M	+3.4%
Culture & Recreation <i>Library, parks, recreation</i>	\$1.5M	\$1.6M	+8.5%
Health & Human Services <i>Health Dept, Council on Aging, Veterans</i>	\$0.6M	\$0.6M	+4.4%

Total Town Meeting Appropriation: \$72.3M (FY26) → \$74.4M (FY27) +2.9%

Article 7 — Capital Projects

\$2,993,711 from Certified Free Cash · 26 individual projects

DPW	\$1,781,775	59%
Roads, sidewalks, parking lot, vehicles, drainage, irrigation, cemetery		
Schools	\$520,000	17%
Cafeteria floor, vehicles, interior painting, furniture		
Technology	\$342,000	11%
IT infrastructure, security systems, projection equipment		
Public Safety	\$229,936	8%
Police and fire equipment, AXON VR training, vehicle		
Library	\$70,000	2%
Computers, furniture, door replacement, consultant		
Parks & Rec	\$50,000	2%
Design for high school turf field replacement		

ROAD INVESTMENT THIS CYCLE

Art. 7 — Roads & Sidewalks	\$750,000
Art. 7 — Sidewalk Design	\$125,000
Art. 11 — Roads (separate appropriation)	\$800,000

Total Road Investment **\$1,675,000**

Also in Art. 7: McGovern Parking Lot \$351,775 and Battery Backup for 4 Traffic Lights \$95,000

Also: Art. 9 — Lovering St Water Tank (borrow \$1.8M) · Art. 8 — Athletic Fields turf design (\$50K from stabilization fund)

Notable Findings

FIRE DEPARTMENT

+15.3% budget increase

FY2026: \$3,542,090 → FY2027: \$4,084,610 (+\$542,520). The largest single department increase in the budget — driven by personnel costs and equipment needs. The FinCom recommends approval.

DEBT SERVICE

Declining — provides budget relief

FY2026: \$5,105,758 → FY2027: \$4,600,014 (-\$505,744). Long-term principal and interest is decreasing as older debt matures, giving the town modest budget relief.

TRI-COUNTY VOCATIONAL

New facility assessment: \$1,000,000

A new Tri-County facility construction assessment adds \$1M on top of the regular regional assessment (\$1,567,832) — \$2,567,832 total. In FY2025 the facility component was only \$62,708. This is a multi-year obligation.

TECHNOLOGY INVESTMENT

\$999,403 — up 15.5% from FY26

The Department of Technology & Innovation budget grew from \$865,433 to \$999,403. This includes new infrastructure, security systems, and projection equipment across Art. 7 capital.

Key Themes

BALANCED WITHIN PROP 2½

FY2027 is structurally sound — revenues match expenditures with no deficit. The town is spending at its levy limit without overextending.

CHAPTER 70 IS THE LONG-TERM VULNERABILITY

State aid grows, but not fast enough. Each year the town must close the gap between what the state funds and what education actually costs — with property taxes.

ACTIVE CAPITAL CYCLE — BUILDING FOR THE FUTURE

Roads, schools, vehicles, technology. The new Capital Stabilization Fund is accumulating reserves so future capital needs don't require emergency borrowing.

COST PRESSURES ARE CONCENTRATED

Fire Dept +15%, Tri-County facility assessment \$1M new, technology growing. Benefits (health insurance, retirement) remain the largest non-education cost at \$12.8M.

The 2026 Warrant at a Glance

ANNUAL TOWN MEETING

26 Articles

ATM — May 11, 7:30 PM

SPECIAL TOWN MEETING

8 Articles

STM — May 11, 7:00 PM

FINANCE COMMITTEE

Recommends Approve

All articles — final warrant

What's on the ATM:

■ Routine annual budget & enterprise funds
Arts. 2-6 — Water, Sewer, Solid Waste, Ambulance

■ Capital spending & infrastructure
Arts. 7, 9-11 — Free Cash capital, roads, water tank

■ Financial transfers & stabilization
Arts. 8, 12-14 — OPEB, General Stab., CPA, Fields

■ Bylaws, zoning & administrative
Arts. 15, 17-26 — Including 5 zoning amendments

■ **Items unique to 2026**
Art. 1 (Winthrop St) · Art. 16 (BESS PILOT)

Tonight's Focus

- Most articles are routine — we'll cover them briefly
- Art. 1: Winthrop St land purchase (\$5.62M authorized)
- Art. 16: BESS battery storage PILOT agreement
- Both have Select Board and Finance Committee support
- Goal: informed voters, not advocacy

Routine Annual Business

These articles appear every year. Expect them to pass with little debate.

ENTERPRISE FUNDS (FY2027)	
Water Department (Art. 4)	\$5,605,353
Sewer Department (Art. 5)	\$2,205,536
Solid Waste / Recycling (Art. 6)	\$1,978,393
Total enterprise funds:	\$9,789,282

Funded by user fees — not property taxes

CAPITAL & FINANCIAL TRANSFERS	
Free Cash: Capital Projects (Art. 7)	\$2,993,711
Roads & Sidewalks (Art. 11)	\$800,000
Water Tank Rehab — Borrowing (Art. 9)	\$1,800,000
OPEB Trust (Art. 12)	\$300,000
Community Preservation (Art. 14)	\$645,850
General Stabilization (Art. 13)	\$100,000

NOTE: Operating Budget (Art. 3) — the specific dollar amount is voted on the meeting floor; it does not appear in the warrant.

Two articles make 2026 different

MW

ART. 16

BESS PILOT Agreement

20-year tax agreement for a 300 MW / 1,200 MWh
battery storage facility on West Street

AC

ART. 1

Winthrop St Land Purchase

\$4.85M purchase of ~79 acres using Community
Preservation Act funds and town borrowing

Select Board: Approve · Finance Committee: Approve — on both articles

Art. 16 — BESS PILOT: What Is It?

WHAT THE TOWN IS VOTING ON

Authorizing the Select Board to sign a 20-year Payment In Lieu of Taxes (PILOT) agreement with Medway Energy Center, LLC for a large battery energy storage facility at 15 West Street.

WHAT IS A PILOT?

Instead of paying property taxes, the company pays a negotiated fixed annual sum. For battery facilities, Massachusetts law (G.L. c. 59 §5 cl. 45) allows this structure. The prior Milford Street facility operates under a 2016 PILOT — the one Article 1 of that year authorized.

WHAT IS A BESS?

A Battery Energy Storage System. It stores electricity from the grid and releases it during peak demand. MW (power) = how fast it charges or discharges; MWh (energy) = how much total electricity it stores. Think of MW as the flow rate and MWh as the tank size.

THE PROPOSED FACILITY

300 MW power · 1,200 MWh storage (4-hour duration) · Sited at existing Exelon West Medway generating station on West Street · Construction expected post-approval of PILOT

Art. 16 — BESS PILOT: The Numbers

YEAR 1 ANNUAL PAYMENT

\$3,138,982

~\$10,463 per MW

AGREEMENT DURATION

20 Years

Fixed — no inflation step

NOMINAL TOTAL

~\$62.8M

Real value ~\$48M at 3% CPI

How does Medway's deal compare to similar agreements?

Facility	Rate (\$/MW)	Duration	Note
Carver BESS (2021)	\$10,667/MW	20 years	Comparable New England deal
Medway West St (proposed)	\$10,463/MW	20 years	This warrant — no escalator
Medway Milford St (2016 PILOT)	\$9,228/MW	20 years	Existing facility, now operating

Source: AI-assisted analysis of public PILOT agreements. Verify independently before citing.

Art. 16 — Questions Worth Discussing

This is not a recommendation. These are the questions informed voters are asking.

1 Is the payment rate fair?

At ~\$10,463/MW, Medway is between Carver (\$10,667) and the prior Milford St deal (\$9,228). But without an inflation escalator, the real value declines each year. Is a fixed payment the right structure for a 20-year agreement?

2 What if the facility isn't built?

The PILOT only activates upon a commercial operations date (COD). If the project is delayed or cancelled, the town receives nothing — but also loses nothing. Is 'no harm, no foul' the right frame, or should there be development milestones?

3 What's the alternative revenue scenario?

Without a PILOT, the company could argue for a lower assessed value or pursue exemptions. What would the facility realistically contribute in property taxes — and is a negotiated PILOT better or worse than that?

4 What are the community tradeoffs?

The facility will be at an existing industrial site (West Street / Exelon property). Industrial-scale battery facilities require careful fire suppression planning and bring local traffic during construction. How does the community weigh those factors?

Art. 1 — Winthrop St Purchase: What Is It?

PURCHASE PRICE (P&S)

\$4,850,000

~79 acres, 4 parcels

CPA FUNDS AUTHORIZED

\$2,870,000

Community Preservation Act

BORROWING AUTHORIZED

\$2,750,000

Total authorized: \$5.62M

Note: CPA \$2.87M + Borrowing \$2.75M = \$5.62M authorized. The \$4.85M P&S price is the contract figure; the difference covers transaction costs and closing expenses.

WHAT IS BEING PURCHASED?

Approximately 78.7 acres across four parcels on Winthrop Street. The warrant states 78.73 acres; the Purchase & Sale Agreement references approximately 88 acres. That ~9-acre discrepancy will be resolved by survey at closing.

HOW WILL IT BE FUNDED?

\$2.87M from the Community Preservation Fund (state-local matching program, funded by property tax surcharge). \$2.75M via town borrowing. Estimated all-in cost with debt service: approximately \$7.1M.

WHAT HAPPENS TO THE LAND?

Must be used for CPA-eligible purposes: open space, recreation, historic preservation, or community housing. CPA restrictions are permanent. The warrant authorizes transfer to the Conservation Commission.

Art. 1 — Questions Worth Discussing

This is not a recommendation. These are the questions informed voters are asking.

1 Is the price right?

At \$4,850,000 for ~79-88 acres, that's roughly \$55,000-\$62,000/acre before debt service. What's the comparable land value in Medway? Has an independent appraisal been obtained, and what did it show?

2 What's the environmental picture?

Shady Oaks Landscape is adjacent to the property. There may be residual risk from prior commercial activity. The P&S conveys by quitclaim deed — which provides less title protection than a warranty deed. Has a Phase I/II environmental assessment been completed?

3 What are the rollback taxes?

The land may be enrolled in a current-use program (Chapter 61/61A/61B). Conversion to town ownership can trigger rollback taxes. The P&S requires the seller to cover these — but it's worth confirming the exposure before voting.

4 What does the community gain?

Nearly 80+ acres of permanently protected open space in a town where undeveloped land is scarce. What is the community's vision for how this land is used — passive conservation, recreational trails, agricultural leases?

Your Vote Is Your Voice

ATM

Annual Town Meeting — Monday, May 11, 2026 at 7:30 PM

STM

Special Town Meeting — Monday, May 11, 2026 at 7:00 PM

WHERE

Medway High School, 88 Summer Street

STEP 1

Confirm you're registered to vote at
medwayma.gov

STEP 2

Read the warrant — it's on the town website

STEP 3

Show up May 11 — every vote counts

Questions? Discussion?